

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-20

**INTERNATIONAL EXPRESS TRUCKING, INC.
v.
COSCO SHIPPING LINES CO., LTD. AND
COSCO SHIPPING (NORTH AMERICA), INC. AS AGENT FOR
COSCO SHIPPING LINES CO., LTD.**

**MOTION OF RESPONDENT COSCO SHIPPING (NORTH AMERICA) INC.
TO DISMISS THE COMPLAINT**

For the reasons more fully set out in the Memorandum in Support of Motion to Dismiss below, Respondent COSCO Ocean Shipping Lines (North America), Inc. (“CSLNA”) moves to dismiss the Complaint of International Express Trucking, Inc. (“ITX” or “Complainant”).

MEMORANDUM IN SUPPORT OF MOTION TO DISMISS

INTRODUCTION

Putative Respondent CSLNA moves for dismissal of the Complaint against it on the ground that the Commission lacks both personal jurisdiction over CSLNA and subject matter jurisdiction over the claims as to CSLNA, because CSLNA is not an ocean common carrier. This is a dispositive motion, subject to FMC Rules 69(g) and 70. 46 C.F.R. §§ 502.69(g) and 502.70, the filing of which defers the date for filing an Answer until 10 days after service of an order denying the motion. 46 C.F.R. § 502.62(b)(1).

ARGUMENT

A. Standards for Motions to Dismiss

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. *See, e.g., YSN Imports Inc. v. Oberlander*, Docket No. 21-02, 2021 WL 2935838 at *2-3 (ALJ Order, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, Docket No. 17-08, 1 F.M.C.2d 103,115-116, (ALJ Order, May 18, 2018). As the Presiding Officer explained in *YSN Imports*, “the Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction.” *YSN Imports* at *3 (citing *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2020 WL 6445041 at *4 (October 29, 2020) (internal citations omitted)).

When a motion to dismiss is based on lack of jurisdiction, respondent has a choice of making a facial attack on jurisdiction – in which case well-pleaded allegations are assumed true – or a factual attack, in which case the allegations in the complaint must be supported by evidence:

“With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges "the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered." . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. . . .” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, 2017 WL 343693 (ALJ January 17, 2017) (citing *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009)); *see also Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C.2d 103 at 115-116, 2018 WL 2356145 at *11 (ALJ Order, May 18, 2018).

Under Federal Rule of Civil Procedure 12(b)(1), a court must grant a motion to dismiss if the court lacks subject matter jurisdiction. A Rule 12(b)(1) motion "may assert either a factual attack or a facial attack to jurisdiction." *DNB Exports LLC v. Barsan Global Logistik*, Docket 11-07, 2011 WL 7144017 at *3 (ALJ, July 7, 2011)(citing *McElmurray v. Consol. Gov't of Augusta-Richmond County*, 501 F.3d 1244, 1251 (11th Cir. 2007); *Lawrence v. Dunbar*, 919 F.2d 1525, 1528-29 (11th Cir. 1990)). A facial attack challenges the sufficiency of the allegations in the complaint, while a factual attack challenges "***the existence of subject matter jurisdiction in fact, irrespective of the pleadings***, and matters outside the pleadings, such as testimony and affidavits, are considered." *Id.* The plaintiff bears the burden of establishing that the court has jurisdiction. *Id.* at *4; see also *Grand Lodge of Fraternal Order of Police v. Ashcroft*, 185 F. Supp. 2d 9, 13 (D.D.C. 2001).

This Motion makes a factual attack on jurisdiction, although a facial attack would be equally successful given Complainant's failure to plead anything more than scant legal conclusions, unsupported by allegations of fact.

B. The FMC Lacks Personal Jurisdiction over CSLNA

The FMC's regulatory jurisdiction extends only to certain types of entities (often referred to as "regulated entities"). Those are "Ocean Common Carriers," also known as vessel-operating common carriers ("VOCCs"), "Marine Terminal Operators ("MTOs"), "Non-Vessel-Operating Common Carriers ("NVOCCs")," and "Ocean Freight Forwarders." The Complaint alleges only that CSLNA is ocean common carrier.

This assertion is entirely incorrect. CSLNA is not and never has been an ocean common carrier, and as the FMC's own website shows, CSLNA is not covered by Organization Number 015614. Rather, as Complainant elsewhere recognizes, CSLNA serves only as the general agent

for North America for the actual ocean common carrier, identified on the FMC's website as "COSCO Shipping Lines Co., Ltd."

Both the FMC and the courts have recognized that an agent of a regulated entity is not itself a regulated entity unless it independently meets the statutory requirements for such an entity. Thus, in *Landstar Express Am., Inc. v. FMC*, 569 F.3d 493, 494 (DC Cir. 2009), for example, the U.S. Court of Appeals for the D.C. Circuit held that the Shipping Act does not allow an agent of a common carrier to be regulated as a common carrier unless such entity holds out in its own name to perform as a common carrier. Then-Judge Kavanaugh's opinion started with "the basic rule-of-law maxim that statutory text binds federal agencies" and concluded that "the Commission does not possess statutory authority to require agents of Ocean Transportation Intermediaries who are not themselves Ocean Transportation Intermediaries to obtain licenses." *Id.* He further explained that "an agent of an NVOCC by definition is not a "common carrier," and thus not an "NVOCC" as described in the Act."¹ *Id.* at 498.

The Complaint's only words on the matter are the conclusory assertions that: (i) CSLNA "is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. 40102(18), with organization number 015614"; and (ii) "[t]he FMC has personal jurisdiction over Respondent as an ocean common carrier, as that term is defined by 46 C.F.R. 520.2." As previously stated, CSLNA does not operate under organization number 015614, as the Presiding Officer may officially notice, and this indisputable fact is confirmed by review of the FMC's own website, which does not show CSLNA as an organization or trade name under that organization number.

¹ See *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642, 644 (D.C. Cir. 1978) (FMC may not impose common carrier obligations on an entity that does not meet the statutory definition); *CMI Distribution Inc. v. Service by Air, Inc.*, Docket. 17-053 FMC 2d 83, 85 (FMC 2021) (SBA's liability depends on whether it is a regulated entity, in this case, a common carrier or NVOCC"); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 1 FMC2d 403, 409 (FMC July 16, 2019)(agent of regulated entity is not a regulated entity unless independently acting as a regulated entity); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, Docket No. 14-03, 2014 WL 5824274 (FMC 2014) (ALJ Order to Dismiss, November 6, 2014) (explaining that "A carrier's agent . . . does not transport property" citing *Trane Co. v. South African Marine Corp. (N.Y.)*, 19 F.M.C. 375, 382 (ALJ 1976)).

These purely legal conclusions by ITX are totally unsupported by any reference to the actual requirements of the Shipping Act and the FMC regulations that define the criteria for an ocean common carrier; nor does the Complaint allege any facts relating to CSLNA meeting or not meeting the statutory/regulatory requirements.

As reflected in both the statute and the FMC regulations, an ocean common carrier is a “common carrier” that operates the vessels by which transportation is provided. And as defined by the Shipping Act, a “common carrier,” is:

“[A] person that (i) holds itself out to the general public to provide transportation by way of passengers or cargo between the United States and a foreign country for compensation, (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. 40102(7); *see* 46 C.F.R. 520.2.

Thus, in order to be a common carrier, an entity must meet all of the following requirements:

- It must hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country;
- It must assume responsibility for the transportation of origin to destination; and
- It must use a vessel operating on the high seas to provide such transportation.

The Complaint does not allege that CSLNA meets any of these requirements, and it could not do so consistent with the ethical rules governing attorneys practicing before the FMC. As recently held by ALJ Crovella in FMC Docket No. 24-01, *Visual Comfort & Co. v. COSCO Shipping Lines (North America), Inc.*, Docket 24-01, 2024 WL 579566 (ALJ Order granting motion to dismiss CSLNA, February 6, 2024):

- CSLNA does not hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation. That is done by COSCO Shipping Lines Co., Ltd.
- CSLNA does not assume responsibility for the transportation of origin to destination. That responsibility belongs to COSCO Shipping Lines Co., Ltd. and bills of lading are issued in the name of COSCO Shipping Lines Co., Ltd.
- CSLNA does not use vessels operating on the high seas to provide transportation. That is again done by COSCO Shipping Lines Co., Ltd.
- CSLNA does not operate any vessels by which U.S.-foreign transportation is provided. All such vessels are operated by COSCO Shipping Lines Co., Ltd.
- As explained above, CSLNA acts only as an agent for a disclosed principal -- COSCO Shipping Lines Co., Ltd. That principal/agent relationship is demonstrated on all bills of lading, invoices, and other documents sent out by CSLNA on behalf of COSCO Shipping Lines Co., Ltd.

The Commission's Chief Administrative Law Judge has concluded, in similar circumstances, that the general agent for an ocean common carrier is not thereby an ocean common carrier itself. In *OJ Commerce, LLC v. Hamburg Sud*, Docket 21-11, 6 FMC 2d 165, 189-91 (I.D. 2023), Chief Judge Wirth concluded that Hamburg Sud North America (HSNA), the general agent for Hamburg Sud was not a regulated entity, but rather, a non-jurisdictional "other person" with which the ocean carrier operated. She reached this conclusion even though the parent (Hamburg Sud) was an ocean common carrier and even though Complainant alleged that the agent actually participated in the actions claimed to violate the Shipping Act.²

This case is essentially parallel with *OJ Commerce*, and the claim against CSLNA must be dismissed for the same reason.³ As noted above, ITX does not allege that CSLNA does any of the

² Chief Judge Wirth further explained that, as a general rule, agents are not liable for the actions of their disclosed principals.

³ We understand that HSNA was not dismissed in *OJ Commerce* until after discovery, but that should not change the result.

things required to be an ocean common carrier (or any type of common carrier), and discovery would not allow ITX to make any such allegations. There is no sense in prolonging a futile proceeding, only to dismiss CSLNA after a long and costly exercise. Rather, as mentioned at the outset, the appropriate measure is for ITX to file a new (or amended) complaint naming only COSCO Shipping Lines Co., Ltd as respondent. The new pleading may be served on us, rather than any COSCO entities. That should minimize any delay.

C. The Commission Lacks Subject Matter Jurisdiction over the Complaint

The Complaint asserts violations of only one Shipping Act provision 46 U.S.C. 41102(c). That section, however, is expressly directed only to specific jurisdictional entities. It states that:

“[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

As shown above, CSLNA is not a common carrier.⁴ Accordingly, 46 U.S.C. 41102(c), by its terms, does not apply to CSLNA.

⁴ Nor of course is CSLNA a “marine terminal operator” or “ocean transportation intermediary,” and the Complaint does not (and could not) allege otherwise.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons, Respondent CSLNA respectfully requests that it be dismissed from the proceeding for lack of personal/subject matter jurisdiction.

Dated: June 17, 2024

Respectfully submitted,

/s/ *Kaya Massey*

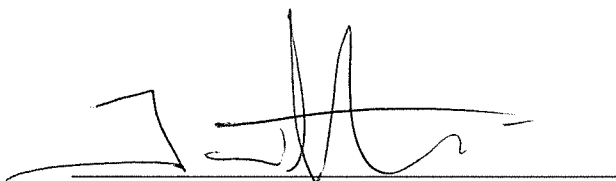
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**ATTORNEYS FOR RESPONDENTS COSCO SHIPPING LINES CO., LTD.
AND COSCO SHIPPING LINES (NORTH AMERICA)**

VERIFICATION

I, James Houghtalin, hereby verify as follows:

1. I am the Chief Risk Officer of COSCO Shipping Lines (North America) Inc.
2. I am authorized to make this verification on behalf of Respondent COSCO Shipping Lines (North America) Inc.
3. I hereby verify that the facts contained in the foregoing Verified Motion to Dismiss are true and correct to the best of my knowledge, information and belief, specifically including, but not limited to, the following:
 - a. COSCO Shipping Lines (North America) Inc. is not an ocean common carrier as the term is defined in the Shipping Act and Federal Maritime Commission regulations.
 - b. COSCO Shipping Lines (North America) Inc. is not covered by Organization Number 015614.
 - c. COSCO Shipping Lines (North America) Inc. does not hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation.
 - d. COSCO Shipping Lines (North America) Inc. does not assume responsibility for the transportation of cargo from origin to destination.
 - e. COSCO Shipping Lines (North America) Inc. does not use vessels operating on the high seas to provide transportation.
 - f. COSCO Shipping Lines (North America) Inc. does not operate any vessels by which US – foreign transportation is provided.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

A handwritten signature in black ink, appearing to read 'J. Houghtalin', is written over a horizontal line.

JAMES HOUGHTALIN, Chief Risk Officer
COSCO Shipping Lines (North America) Inc.

CERTIFICATE OF SERVICE

I certify that on the 17th day of June, 2024, a true and correct copy of the foregoing **MOTION TO DISMISS** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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